BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2022

Table of Contents

Burlington Community School District

Officials

Name	Title	Term Expires
Joel Sieren	President	2023
Deborah Hatteberg	Vice President	2023
Anika McVay	Board Member	2023
Nancy Hoelzen	Board Member	2023
Darven Kendell	Board Member	2025
Christi Burghoffer	Board Member	2025
Scott Mason	Board Member	2025

School Officials

Patrick Coen	Superintendent	2022
Greg Reynolds	Business Manager/Board Secretary	2022
Ahlers & Cooney	Attorney	2022
Lynch Dallas	Attorney	2022

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

INDEPENDENT AUDITOR'S REPORT

To the Board of Education of Burlington Community School District:

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2022, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of the Burlington Community School District as of June 30, 2022 and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with U.S. general accepted accounting principles.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of Financial Statements section of our report. We are required to be independent of Burlington Community School District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our audit. We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 15 to the financial statements, Burlington Community School District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 87, Leases. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Members American Institute & Iowa Society of Certified Public Accountants

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Burlington Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 16 and 48 through 53 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2021 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards, is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated April 3, 2023 on our consideration of Burlington Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.

Nolte, Cornman & Johnson P.C.

NOLTE, CORNMAN & JOHNSON, P.C.

April 3, 2023
Newton, Iowa

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2022. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2022 FINANCIAL HIGHLIGHTS

- The District implemented Governmental Accounting Standards Board Statement (GASBS) No. 87, Leases, during fiscal year 2022. The implementation of this standard revised certain asset and liability accounts related to leases, increasing the governmental activities beginning net position by $34,119.

- The District's total net position increased from $63,566,180 at July 1, 2021 to $74,441,895 at June 30, 2022. Total revenues increased 7.41% from $61,110,704 in fiscal year 2021 to $65,636,114 in fiscal year 2022, while total expenses decreased 6.15% from $57,985,421 in fiscal year 2021 to $54,416,563 in fiscal year 2022. Revenues from operating grants, contributions and restricted interest and capital grants, contributions and restricted interest increased $2,665,064 compared to the prior year contributing to the increase in total revenues. The decrease in expenses occurred mainly in the instruction function.

- The District's General Fund revenues increased from $52,003,573 in fiscal year 2021 to $54,851,849 in fiscal year 2022, while General Fund expenditures increased from $51,243,535 in fiscal year 2021 to $53,733,040 in fiscal year 2022. The District's General Fund balance increased from $14,172,278 restated at July 1, 2021 to $15,291,087 at June 30, 2022, a 7.89% increase from the prior year.

- The increase in fiscal year 2022 General Fund revenues is due primarily to an increase federal sources received while the increase in expenditures was due primarily to an increase in support service costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Burlington Community School District Annual Financial Report

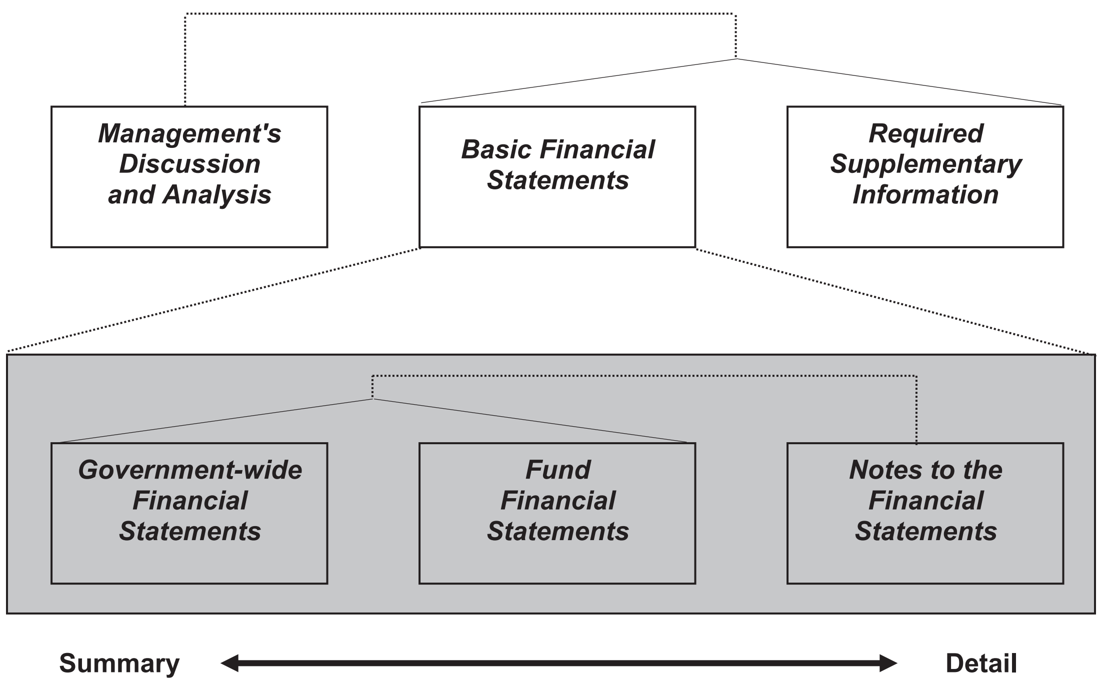

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2

Major Features of the Government-Wide and Fund Financial Statements

	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	· Statement of net position · Statement of activities	· Balance sheet · Statement of revenues, expenditures, and changes in fund balances	· Statement of net position · Statement of revenues, expenses and changes in fund net position · Statement of cash flows	· Statement of fiduciary net position · Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow / outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities*: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

- *Business type activities*: The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1) *Governmental funds*: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

   The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

   The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

2) *Proprietary funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has three Enterprise Funds, the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

   The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

3) *Fiduciary funds*: The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.

   - Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

   The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2022 compared to June 30, 2021.

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2022	Restated 2021	2022	Not Restated 2021	2022	Restated 2021	2021-22
Current and other assets	$ 51,550,615	57,851,554	978,999	843,266	52,529,614	58,694,820	-10.50%
Capital assets	71,961,146	71,703,842	77,228	94,880	72,038,374	71,798,722	0.33%
Total assets	123,511,761	129,555,396	1,056,227	938,146	124,567,988	130,493,542	-4.54%
Deferred outflows of resources	4,256,890	5,943,487	93,177	130,373	4,350,067	6,073,860	-28.38%
Long-term liabilities	11,118,539	45,353,759	32,163	642,809	11,150,702	45,996,568	-75.76%
Other liabilities	8,689,871	8,921,130	68,472	96,156	8,758,343	9,017,286	-2.87%
Total liabilities	19,808,410	54,274,889	100,635	738,965	19,909,045	55,013,854	-63.81%
Deferred inflows of resources	33,518,346	17,657,814	424,329	48,950	33,942,675	17,706,764	91.69%
Net position:							
Net investment in capital assets	64,140,043	53,116,480	77,228	94,880	64,217,271	53,211,360	20.68%
Restricted	13,240,609	19,412,004	-	-	13,240,609	19,412,004	-31.79%
Unrestricted	(2,938,757)	(8,962,304)	547,212	185,724	(2,391,545)	(8,776,580)	72.75%
Total net position	$ 74,441,895	63,566,180	624,440	280,604	75,066,335	63,846,784	17.57%

The District's total net position increased 17.57%, or $11,219,551, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased $6,171,395, or 31.79%, from the prior year. The decrease in restricted net position is primarily a result of the decrease in the amount restricted for debt service when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased $6,385,035, or 72.75%. This increase in unrestricted net position was primarily the result of the decrease in the District's net pension liability.

Figure A-4 shows the changes in net position for the year ended June 30, 2022 compared to the year ended June 30, 2021.

Figure A-4
Changes in Net Position

	Governmental Activities		Business Type Activities		Total District		Total Change
	2022	Not Restated 2021	2022	Not Restated 2021	2022	Not Restated 2021	2021-22
Revenues:							
Program revenues:							
Charges for service	$ 1,516,688	967,308	264,646	73,020	1,781,334	1,040,328	71.23%
Operating grants, contributions and restricted interest	9,756,756	9,013,723	2,039,692	1,432,838	11,796,448	10,446,561	12.92%
Capital grants, contributions and restricted interest	1,315,177	-	-	-	1,315,177	-	100.00%
General revenues:							
Property tax	15,136,990	15,420,953	-	-	15,136,990	15,420,953	-1.84%
Statewide sales, services and use tax	5,394,479	4,080,613	-	-	5,394,479	4,080,613	32.20%
Unrestricted state grants	29,942,732	29,856,462	-	-	29,942,732	29,856,462	0.29%
Unrestricted investment earnings	79,524	123,246	780	17	80,304	123,263	-34.85%
Other	179,767	113,659	8,883	28,865	188,650	142,524	32.36%
Total revenues	63,322,113	59,575,964	2,314,001	1,534,740	65,636,114	61,110,704	7.41%
Program expenses:							
Instruction	32,763,023	36,219,470	332,137	63,280	33,095,160	36,282,750	-8.79%
Support services	15,404,657	15,512,042	90,019	-	15,494,676	15,512,042	-0.11%
Non-instructional programs	60,783	28,397	1,428,009	1,498,025	1,488,792	1,526,422	-2.47%
Other expenses	4,337,935	4,664,207	-	-	4,337,935	4,664,207	-7.00%
Total expenses	52,566,398	56,424,116	1,850,165	1,561,305	54,416,563	57,985,421	-6.15%
Excess (Deficiency) of revenues over (under) expenses	10,755,715	3,151,848	463,836	(26,565)	11,219,551	3,125,283	258.99%
Transfers	120,000	(170,409)	(120,000)	170,409	-	-	0.00%
Change in net position	10,875,715	2,981,439	343,836	143,844	11,219,551	3,125,283	258.99%
Net position beginning of year, as restated	63,566,180	60,550,622	280,604	136,760	63,846,784	60,687,382	5.21%
Net position end of year	$ 74,441,895	63,532,061	624,440	280,604	75,066,335	63,812,665	17.64%

In fiscal year 2022, property tax, statewide sales, services and use tax and unrestricted state grants accounted for 79.71% of the governmental activities revenues while charges for service and operating grants, contributions and unrestricted interest accounted for 99.58% of the business type activities revenues.

The District’s total revenues were approximately $65.63 million, of which approximately $63.32 million was for governmental activities and approximately $2.31 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 7.41% increase in revenues and a 6.15% decrease in expenses. The primary reason for the increase in revenues was an increase in operating grants, contributions and restricted interest received. The decrease in expenses occurred mainly in the instruction functional area compared to the prior year.

Governmental Activities

Revenues for governmental activities were $63,322,113 and expenses were $52,566,398 for the year ended June 30, 2022.

The following table presents the total and net cost of the District’s major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2022 compared to those expenses for the year ended June 30, 2021.

	Figure A-5 Total and Net Cost of Governmental Activities					
	Total Cost of Services			Net Cost of Services		
	2022	2021	Change 2021-22	2022	2021	Change 2021-22
Instruction	$32,763,023	36,219,470	-9.54%	24,651,315	29,536,300	-16.54%
Support services	15,404,657	15,512,042	-0.69%	12,932,764	14,223,256	-9.07%
Non-instructional programs	60,783	28,397	114.05%	39,908	12,685	214.61%
Other expenses	4,337,935	4,664,207	-7.00%	2,353,790	2,670,844	-11.87%
Total	$52,566,398	56,424,116	-6.84%	39,977,777	46,443,085	-13.92%

For the year ended June 30, 2022:

- The cost financed by users of the District's programs was $1,516,688.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling $11,071,933.
- The net cost of governmental activities was financed with $15,136,990 in property tax, $5,394,479 in statewide sales, services and use tax, $29,942,732 in unrestricted state grants, $79,524 in interest income, and $179,767 in other general revenues.

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2022 were $2,314,001, a 50.77% increase from the prior year, and expenses were $1,850,165, a 18.50% increase from the prior year. The District's business type activities include the School Nutrition Fund, Corse Early Childhood Center Fund and Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of $27,145,764, below last year's restated ending combined fund balances of $32,071,166. The decrease in combined fund balances is largely due to the decrease in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The District's General Fund financial position is the product of many factors. The General Fund balance increased from $14,172,278 restated at July 1, 2021 to $15,291,087 at June 30, 2022. Total revenues increased from the prior year primarily due to increases in federal sources while total expenditures increased due primarily to increases in support services expenditures compared to the previous year.
- The Capital Projects Fund balance decreased from $9,352,574 at June 30, 2021 to $5,878,478 at June 30, 2022. Revenues and expenditures both increased from the prior year. Capital outlay expenditures throughout the year totaled $2,489,106, an increase of $1,774,866, leading to the decrease in fund balance.
- The Management Fund balance increased from $3,399,859 at June 30, 2021 to $4,138,439 at June 30 2022. Revenues and expenditures both decreased from the prior year.
- The Debt Service Fund decreased from $4,099,169 at June 30, 2021 to $809,625 at June 30, 2022. The District issued $10 million of refunding revenue bonds during fiscal year 2022.

Proprietary Fund Highlights

The School Nutrition Fund net position increased from $127,834 at June 30, 2021 to $494,609 at June 30, 2022, representing an increase of 286.92%. Revenues from operating grants, contributions and restricted interest increased $561,751 from the prior year as total expenses decreased compared to the prior year. The net position of the Corse Early Childhood Center Fund increased from $123,046 at June 30, 2021 to $100,107 at June 30, 2022. The net position of the Student Construction Fund was unchanged.

BUDGETARY HIGHLIGHTS

Over the course of the year, Burlington Community School District amended its budget one time to reflect additional expenditures.

The District's revenues were $1,719,789 more than budgeted revenues, a variance of 2.69%. The most significant dollar variance resulted from the District receiving more from federal sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2022, the District had invested approximately $72.04 million, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net increase of 0.33% from last year. More detailed information about the District's capital assets is presented in Note 6 to the financial statements. Depreciation expense for the year was $2,752,848.

The original cost of the District's capital assets was approximately $125.20 million. Governmental activities accounted for approximately $124.48 million of the total with the remainder of approximately $0.72 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the buildings category. The District's buildings, net of accumulated depreciation, totaled $61,981,819 at June 30, 2022, compared to $63,655,047 restated at July 1, 2021. This decrease resulted primarily from the annual depreciation/amortization expense recognized during the year.

Figure A-6
Capital Assets, Net of Depreciation/Amortization

	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2022	Restated 2021	2022	Not Restated 2021	2022	Restated 2021	2021-22
Land	$ 3,022,794	3,022,794	-	-	3,022,794	3,022,794	0.00%
Construction in progress	1,802,617	365,699	-	-	1,802,617	365,699	392.92%
Buildings	61,981,819	63,655,047	-	-	61,981,819	63,655,047	-2.63%
Land improvements	1,491,046	1,256,586	-	-	1,491,046	1,256,586	18.66%
Right to use leased equipment	148,821	223,232	-	-	148,821	223,232	-33.33%
Machinery and equipment	3,514,049	3,180,484	77,228	94,880	3,591,277	3,275,364	9.65%
Total	$ 71,961,146	71,703,842	77,228	94,880	72,038,374	71,798,722	0.33%

Long-Term Debt

At June 30, 2022, the District had $7,821,103 of total long-term debt outstanding. This represents a decrease of 57.92% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 7 to the financial statements.

The District had outstanding revenue bonded indebtedness of $7,620,000 at June 30, 2022, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

The District had outstanding lease agreement indebtedness of $201,103 at June 30, 2022.

Figure A-7
Outstanding Long-Term Obligations

	Total District June 30, 2022	Total District June 30, Restated 2021	Total Change June 30, 2021-22
Revenue bonds	$ 7,620,000	18,270,000	-58.29%
Lease agreements	201,103	317,362	-36.63%
Total	$ 7,821,103	18,587,362	-57.92%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2022 at 2.4%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. As approximately 80% of the District's General Fund budget is compromised of salary and benefits, wage and salary adjustments realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.

- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment on October 2021 increased by 3.7 students, however the enrollment trend continues to decline every year with the district averaging a loss of 80 over the last five years. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.

- The budget was amended during the year increasing expenditures by $15,249,768. The budget was amended to accommodate additional expenditures related to federal pandemic relief and to account for additional expenditures related to debt refinancing.

- The Governor signed House File 68 in the 2023 legislative session which establishes a standing unlimited State general fund appropriation for an Education Savings Account Fund for students to attend non-public schools. It is unknown how many students will attend non-public schools in the District in future years. If a significant number of eligible public school students transition to non-public schools, it could have an adverse impact on the District's finances given the reduction in per pupil funding the District would otherwise receive.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.

BASIC FINANCIAL STATEMENTS

EXHIBIT A

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2022

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	$ 32,368,614	929,241	33,297,855
Receivables:			
Property tax:			
Delinquent	147,420	-	147,420
Succeeding year	13,932,604	-	13,932,604
Accounts	11,592	-	11,592
Lease	396,145	-	396,145
Internal balances	996	(996)	-
Due from other governments	4,686,494	32,101	4,718,595
Inventories	-	18,653	18,653
Prepaid expenses	6,750	-	6,750
Capital assets not being depreciated/amortized:			
Land and construction in progress	4,825,411	-	4,825,411
Capital assets, net of accumulated depreciation/amortization:			
Buildings, land improvements, machinery and equipment and right-to-use leased equipment	67,135,735	77,228	67,212,963
Total assets	123,511,761	1,056,227	124,567,988
Deferred Outflows of Resources			
Pension related deferred outflows	3,352,978	87,538	3,440,516
OPEB related deferred outflows	903,912	5,639	909,551
Total deferred outflows of resources	4,256,890	93,177	4,350,067
Liabilities			
Accounts payable	3,409,535	12,110	3,421,645
Salaries and benefits payable	5,267,636	39,394	5,307,030
Accrued interest payable	12,700	-	12,700
Unearned revenue	-	16,968	16,968
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	330,000	-	330,000
Lease agreements	123,062	-	123,062
Compensated absences	177,820	4,999	182,819
Portion due after one year:			
Revenue bonds	7,290,000	-	7,290,000
Lease agreements	78,041	-	78,041
Net pension liability	473,737	10,657	484,394
Total OPEB liability	2,645,879	16,507	2,662,386
Total liabilities	19,808,410	100,635	19,909,045
Deferred Inflows of Resources			
Unavailable property tax revenue	13,932,604	-	13,932,604
Pension related deferred inflows	18,760,599	422,018	19,182,617
OPEB related deferred inflows	370,386	2,311	372,697
Lease related deferred inflows	348,196	-	348,196
Other	106,561	-	106,561
Total deferred inflows of resources	33,518,346	424,329	33,942,675
Net Position			
Net investment in capital assets	64,140,043	77,228	64,217,271
Restricted for:			
Categorical funding	1,398,632	-	1,398,632
Debt service	796,925	-	796,925
Management levy purposes	4,138,439	-	4,138,439
Student activities	326,833	-	326,833
Support trust purposes	701,302	-	701,302
School infrastructure	4,385,503	-	4,385,503
Physical plant and equipment	1,492,975	-	1,492,975
Unrestricted	(2,938,757)	547,212	(2,391,545)
Total net position	$ 74,441,895	624,440	75,066,335

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2022

		Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Service	Operating Grants, Contributions and Restricted Interest	Capital Grants, Contributions and Restricted Interest	Govern-mental Activities	Business Type Activities	Total
Functions/Programs:							
Governmental activities:							
Instruction:							
Regular	$ 20,656,484	862,049	2,330,694	-	(17,463,741)	-	(17,463,741)
Special	7,240,350	328,713	1,818,537	-	(5,093,100)	-	(5,093,100)
Other	4,866,189	323,024	2,448,691	-	(2,094,474)	-	(2,094,474)
	32,763,023	1,513,786	6,597,922	-	(24,651,315)	-	(24,651,315)
Support services:							
Student	2,237,976	-	447,128	-	(1,790,848)	-	(1,790,848)
Instructional staff	1,862,528	-	396,709	-	(1,465,819)	-	(1,465,819)
Administration	5,055,667	-	271,575	-	(4,784,092)	-	(4,784,092)
Operation and maintenance of plant	4,772,212	-	-	1,315,177	(3,457,035)	-	(3,457,035)
Transportation	1,476,274	2,902	38,402	-	(1,434,970)	-	(1,434,970)
	15,404,657	2,902	1,153,814	1,315,177	(12,932,764)	-	(12,932,764)
Non-instructional programs:							
Food service operations	19,027	-	-	-	(19,027)	-	(19,027)
Community service operations	41,756	-	20,875	-	(20,881)	-	(20,881)
	60,783	-	20,875	-	(39,908)	-	(39,908)
Long-term debt interest	304,461	-	-	-	(304,461)	-	(304,461)
Other expenditures:							
AEA flowthrough	1,984,145	-	1,984,145	-	-	-	-
Depreciation/amortization (unallocated)*	2,049,329	-	-	-	(2,049,329)	-	(2,049,329)
	4,033,474	-	1,984,145	-	(2,049,329)	-	(2,049,329)
Total governmental activities	52,566,398	1,516,688	9,756,756	1,315,177	(39,977,777)	-	(39,977,777)
Business type activities:							
Instruction:							
Regular	332,137	-	-	-	-	(332,137)	(332,137)
Support services:							
Instructional staff	36,678	-	-	-	-	(36,678)	(36,678)
Administration	53,341	-	-	-	-	(53,341)	(53,341)
	90,019	-	-	-	-	(90,019)	(90,019)
Non-instructional programs:							
Food service operations	1,428,009	78,621	1,825,839	-	-	476,451	476,451
Other enterprise operations	-	186,025	213,853	-	-	399,878	399,878
	1,428,009	264,646	2,039,692	-	-	876,329	876,329
Total business type activities	1,850,165	264,646	2,039,692	-	-	454,173	454,173
Total	$ 54,416,563	1,781,334	11,796,448	1,315,177	(39,977,777)	454,173	(39,523,604)
General Revenues and Transfers:							
Property tax levied for:							
General purposes					$ 13,990,987	-	13,990,987
Capital outlay					1,146,003	-	1,146,003
Statewide sales, services and use tax					5,394,479	-	5,394,479
Unrestricted state grants					29,942,732	-	29,942,732
Unrestricted investment earnings					79,524	780	80,304
Other					179,767	8,883	188,650
Transfers					120,000	(120,000)	-
Total general revenues and transfers					50,853,492	(110,337)	50,743,155
Change in net position					10,875,715	343,836	11,219,551
Net position beginning of year, as restated					63,566,180	280,604	63,846,784
Net position end of year					$ 74,441,895	624,440	75,066,335

* This amount excludes the depreciation/amortization that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

EXHIBIT C

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2022

	General	Capital Projects	Management Levy	Debt Service	Nonmajor	Total
Assets						
Cash and pooled investments	$ 20,117,741	4,937,553	4,125,753	810,225	1,037,023	31,028,295
Receivables:						
Property tax:						
Delinquent	120,169	10,685	16,566	-	-	147,420
Succeeding year	11,095,940	1,136,666	1,699,998	-	-	13,932,604
Accounts	11,592	-	-	-	-	11,592
Lease	396,145	-	-	-	-	396,145
Due from other funds	936	-	-	-	60	996
Due from other governments	3,697,924	988,570	-	-	-	4,686,494
Prepaid expenses	6,750	-	-	-	-	6,750
Total assets	$ 35,447,197	7,073,474	5,842,317	810,225	1,037,083	50,210,296
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	$ 3,338,773	58,330	3,880	600	7,952	3,409,535
Salaries and benefits payable	5,266,640	-	-	-	996	5,267,636
Total liabilities	8,605,413	58,330	3,880	600	8,948	8,677,171
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property tax	11,095,940	1,136,666	1,699,998	-	-	13,932,604
Lease	348,196	-	-	-	-	348,196
Other	106,561	-	-	-	-	106,561
Total deferred inflows of resources	11,550,697	1,136,666	1,699,998	-	-	14,387,361
Fund balances:						
Nonspendable	6,750	-	-	-	-	6,750
Restricted for:						
Categorical funding	1,398,632	-	-	-	-	1,398,632
Debt service	-	-	-	809,625	-	809,625
Management levy purposes	-	-	4,138,439	-	-	4,138,439
Student activities	-	-	-	-	326,833	326,833
Support trust purposes	-	-	-	-	701,302	701,302
School infrastructure	-	4,385,503	-	-	-	4,385,503
Physical plant and equipment	-	1,492,975	-	-	-	1,492,975
Assigned	230,351	-	-	-		230,351
Unassigned	13,655,354	-	-	-	-	13,655,354
Total fund balances	15,291,087	5,878,478	4,138,439	809,625	1,028,135	27,145,764
Total liabilities, deferred inflows of resources and fund balances	$ 35,447,197	7,073,474	5,842,317	810,225	1,037,083	50,210,296

SEE NOTES TO FINANCIAL STATEMENTS.

EXHIBIT D

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2022

Total fund balances of governmental funds (page 20)		$ 27,145,764
Amounts reported for governmental activities in the Statement of Net Position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.		71,961,146
Accrued interest payable on long-term liabilities is not due and payable in the current year and, therefore, is not reported as a liability in the governmental funds.		(12,700)
Blending of the Internal Service Funds to be reflected on an entity-wide basis.		1,340,319
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:		
Deferred outflows of resources	$ 4,256,890	
Deferred inflows of resources	(19,130,985)	(14,874,095)
Long-term liabilities, including bonds payable, lease agreements, compensated absences payable, net pension liability, and total OPEB liability are not due and payable in the current year and, therefore, are not reported in the governmental funds.		(11,118,539)
Net position of governmental activities (page 18)		$ 74,441,895

SEE NOTES TO FINANCIAL STATEMENTS.

EXHIBIT E

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2022

	General	Capital Projects	Management Levy	Debt Service	Nonmajor	Total
Revenues:						
Local sources:						
Local tax	$ 12,307,465	1,146,003	1,683,522	-	-	15,136,990
Tuition	1,051,530	-	-	-	-	1,051,530
Other	387,807	6,238	23,082	1,631	341,006	759,764
State sources	32,254,584	5,441,036	70,279	-	-	37,765,899
Federal sources	8,607,930	-	-	-	-	8,607,930
Total revenues	54,609,316	6,593,277	1,776,883	1,631	341,006	63,322,113
Expenditures:						
Current:						
Instruction:						
Regular	21,702,349	347,059	202,160	-	50,246	22,301,814
Special	8,256,405	-	-	-	-	8,256,405
Other	5,396,898	-	-	-	309,911	5,706,809
	35,355,652	347,059	202,160	-	360,157	36,265,028
Support services:						
Student	2,369,695	-	12,478	-	-	2,382,173
Instructional staff	2,125,388	1,000	9,758	-	-	2,136,146
Administration	5,478,137	35,294	113,764	-	-	5,627,195
Operation and maintenance of plant	4,164,435	236,361	575,281	-	-	4,976,077
Transportation	1,561,719	9,550	105,835	-	-	1,677,104
	15,699,374	282,205	817,116	-	-	16,798,695
Non-instructional programs:						
Food service operations	-	-	19,027	-	-	19,027
Community service operations	41,756	-	-	-	-	41,756
	41,756	-	19,027	-	-	60,783
Capital outlay	-	2,489,106	-	-	-	2,489,106
Long-term debt:						
Principal	-	-	-	20,766,259	-	20,766,259
Interest and fiscal charges	-	-	-	291,761	-	291,761
	-	-	-	21,058,020	-	21,058,020
Other expenditures:						
AEA flowthrough	1,984,145	-	-	-	-	1,984,145
Total expenditures	53,080,927	3,118,370	1,038,303	21,058,020	360,157	78,655,777
Excess (Deficiency) of revenues over (under) expenditures	1,528,389	3,474,907	738,580	(21,056,389)	(19,151)	(15,333,664)
Other financing sources (uses):						
Proceeds from the sale of equipment	122,533	12,003	-	-	-	134,536
Revenue bond proceeds	-	-	-	10,000,000	-	10,000,000
Premium on bond issuance	-	-	-	253,726	-	253,726
Discount on bond issuance	-	-	-	(100,000)	-	(100,000)
Transfer in	120,000	570,900	-	7,613,119	-	8,304,019
Transfer out	(652,113)	(7,531,906)	-	-	-	(8,184,019)
Total other financing sources (uses)	(409,580)	(6,949,003)	-	17,766,845	-	10,408,262
Change in fund balances	1,118,809	(3,474,096)	738,580	(3,289,544)	(19,151)	(4,925,402)
Fund balances beginning of year, as restated	14,172,278	9,352,574	3,399,859	4,099,169	1,047,286	32,071,166
Fund balances end of year	$ 15,291,087	5,878,478	4,138,439	809,625	1,028,135	27,145,764

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2022

Change in fund balances - total governmental funds (page 22)		$ (4,925,402)
Amounts reported for governmental activities in the Statement of Activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation/amortization expense in the Statement of Activities. Capital outlay expenditures and depreciation/amortization expense in the current year are as follows:		
Capital outlay	$ 2,992,500	
Depreciation/amortization expense	(2,735,196)	257,304
Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in Statement of Net Position.		
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position. Current year issuances and repayments are as follows:		
Issued	(10,000,000)	
Repaid	20,766,259	10,766,259
Net change in the Internal Service Funds charged back against expenditures made for self-funded insurance on an entity-wide basis.		135,889
The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.		2,682,665
District costs associated with the total OPEB liability implicit subsidy after the measurement date but before year end.		903,912
Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:		
Compensated absences	33,780	
Pension expense	2,132,033	
Total OPEB liability and related expenses	(1,098,025)	1,067,788
Change in net position of governmental activities (page 19)		$ 10,875,715

SEE NOTES TO FINANCIAL STATEMENTS.

EXHIBIT G

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2022

	Business Type Activities: Enterprise Funds				Governmental Activities:
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	Internal Service
Assets					
Current assets:					
Cash and pooled investments	$ 829,846	69,671	29,724	929,241	1,340,319
Due from other governments	16,256	15,845	-	32,101	-
Due from other funds	-	11,778	-	11,778	-
Inventories	18,653	-	-	18,653	-
Total current assets	864,755	97,294	29,724	991,773	1,340,319
Noncurrent assets:					
Capital assets, net of accumulated depreciation	77,228	-	-	77,228	-
Total assets	941,983	97,294	29,724	1,069,001	1,340,319
Deferred Outflows of Resources					
Pension related deferred outflows	70,456	17,082	-	87,538	-
OPEB related deferred outflows	4,184	1,455	-	5,639	-
Total deferred outflows of resources	74,640	18,537	-	93,177	-
Liabilities					
Current liabilities:					
Due to other funds	12,774	-	-	12,774	-
Accounts payable	6,944	5,166	-	12,110	-
Salaries and benefits payable	33,781	5,613	-	39,394	-
Unearned revenue	16,968	-	-	16,968	-
Total current liabilities	70,467	10,779	-	81,246	-
Noncurrent liabilities:					
Compensated absences	4,910	89	-	4,999	-
Net pension liability	10,657	-	-	10,657	-
Total OPEB liability	12,247	4,260	-	16,507	-
Total noncurrent liabilities	27,814	4,349	-	32,163	-
Total liabilities	98,281	15,128	-	113,409	-
Deferred Inflows of Resources					
Pension related deferred inflows	422,018	-	-	422,018	-
OPEB related deferred inflows	1,715	596	-	2,311	-
Total deferred inflows of resources	423,733	596	-	424,329	-
Net Position					
Net investment in capital assets	77,228	-	-	77,228	-
Unrestricted	417,381	100,107	29,724	547,212	1,340,319
Total net position	$ 494,609	100,107	29,724	624,440	1,340,319

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2022

	Business Type Activities: Enterprise Funds				Governmental Activities:
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	Internal Service
Operating revenues:					
Local sources:					
Charges for service	$ 78,621	186,025	-	264,646	7,078,507
Miscellaneous	8,883	-	-	8,883	-
Total operating revenues	87,504	186,025	-	273,529	7,078,507
Operating expenses:					
Instruction:					
Regular:					
Salaries	-	147,563	-	147,563	-
Benefits	-	6,660	-	6,660	-
Services	-	81,353	-	81,353	-
Supplies	-	96,561	-	96,561	-
	-	332,137	-	332,137	-
Instructional staff:					
Salaries	-	31,285	-	31,285	-
Benefits	-	5,393	-	5,393	-
	-	36,678	-	36,678	-
Administration:					
Salaries	-	30,905	-	30,905	-
Benefits	-	17,244	-	17,244	-
Services	-	5,192	-	5,192	6,241,628
	-	53,341	-	53,341	6,241,628
Total support services	-	90,019	-	90,019	6,241,628
Non-instructional programs:					
Food service operations:					
Salaries	595,410	-	-	595,410	-
Benefits	126,796	-	-	126,796	-
Services	491	-	-	491	-
Supplies	870,580	746	-	871,326	-
Depreciation	17,652	-	-	17,652	-
Pension Expense	(183,965)	-	-	(183,965)	-
Other	299	-	-	299	-
	1,427,263	746	-	1,428,009	-
Other enterprise operations:					
Benefits	-	-	-	-	700,990
Total non-instructional programs	1,427,263	746	-	1,428,009	700,990
Total operating expenses	1,427,263	422,902	-	1,850,165	6,942,618
Operating income (loss)	(1,339,759)	(236,877)	-	(1,576,636)	135,889
Non-operating revenues:					
State sources	10,159	113,224	-	123,383	-
Federal sources	1,815,680	100,629	-	1,916,309	-
Interest income	695	85	-	780	-
Total non-operating revenues	1,826,534	213,938	-	2,040,472	-
Change in net position before other financing sources (uses)	486,775	(22,939)	-	463,836	135,889
Other financing uses:					-
Transfer out	(120,000)	-	-	(120,000)	-
Change in net position	366,775	(22,939)	-	343,836	135,889
Net position beginning of year	127,834	123,046	29,724	280,604	1,204,430
Net position end of year	$ 494,609	100,107	29,724	624,440	1,340,319

*Pension expense is negative due to the large decrease in Net Pension Liability for FY22 (see note 8).

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2022

		Business Type Activities: Enterprise Funds				Governmental Activities:
		School Nutrition	Corse Early Childhood Center	Student Construction	Total	Internal Service
Cash flows from operating activities:						
Cash received from sale of lunches and breakfasts	$	73,297	186,025	-	259,322	7,078,507
Cash received from miscellaneous		8,883	-	-	8,883	-
Cash payments to employees for services		(732,188)	(247,029)	-	(979,217)	(700,990)
Cash payments to suppliers for goods or services		(866,331)	(182,850)	-	(1,049,181)	(6,245,287)
Net cash provided by (used in) operating activities		(1,516,339)	(243,854)	-	(1,760,193)	132,230
Cash flows from non-capital financing activities:						
Transfer to the General Fund		(120,000)	-	-	(120,000)	-
Net borrowings from the General Fund		12,774	(11,778)	-	996	-
State grants received		8,160	103,550	-	111,710	-
Federal grants received		2,039,658	94,458	-	2,134,116	-
Net cash provided by non-capital financing activities		1,940,592	186,230	-	2,126,822	-
Cash flows from investing activities:						
Interest on investments		695	85	-	780	-
Net increase (decrease) in cash and pooled investments		424,948	(57,539)	-	367,409	132,230
Cash and pooled investments beginning of year		404,898	127,210	29,724	561,832	1,208,089
Cash and pooled investments end of year	$	829,846	69,671	29,724	929,241	1,340,319
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:						
Operating income (loss)	$	(1,339,759)	(236,877)	-	(1,576,636)	135,889
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:						
Commodities consumed		11,877	-	-	11,877	-
Depreciation		17,652	-	-	17,652	-
Change in assets and liabilities:						
Inventories		12,669	-	-	12,669	-
Accounts receivable		-	-	-	-	(3,659)
Accounts payable		(19,507)	1,002	-	(18,505)	-
Salaries and benefits payable		(9,468)	5,613	-	(3,855)	-
Net pension liability		(613,956)	-	-	(613,956)	-
Deferred outflows of resources		55,733	(18,537)	-	37,196	-
Deferred inflows of resources		374,783	596	-	375,379	-
Unearned revenue		(5,324)	-	-	(5,324)	-
Compensated absences		(264)	89	-	(175)	-
Total OPEB liability		(775)	4,260	-	3,485	-
Net cash provided by (used in) operating activities	$	(1,516,339)	(243,854)	-	(1,760,193)	132,230

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2022, the District received $11,877 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

EXHIBIT J

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2022

	Private Purpose Trust
	Scholarship
Assets	
Cash and pooled investments	$ 84,835
Liabilities	
Net Position	
Held in trust for scholarships	$ 84,835

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2022

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Gifts and contributions	$ 150
Interest income	141
Total additions	291
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	1,250
Change in net position	(959)
Net position beginning of year	85,794
Net position end of year	$ 84,835

SEE NOTES TO FINANCIAL STATEMENTS.

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District’s financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District’s financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization’s governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors’ Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District’s nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation/amortization and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Management Levy Fund is utilized to account for the revenues and expenses for unemployment benefits, early retirement and insurance agreements relating to such liabilities.

The Debt Service is utilized to account for property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Corse Early Childhood Center Fund is used to account for the daycare operations of the District.

The Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the flexible health program offered by the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals though scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. <u>Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/ Net Position</u>

The following accounting policies are followed in preparing the financial statements:

<u>Cash, Pooled Investments and Cash Equivalents</u> - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

<u>Property Tax Receivable</u> - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2020 assessed property valuations; is for the tax accrual period July 1, 2021 through June 30, 2022 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2021.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and other payments for services not yet provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery and equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost (except for intangible right-to-use lease assets, the measurement of which is discussed under "Leases" below) if purchased or constructed. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Intangible assets follow the same capitalization policies as tangible capital assets and are reported with tangible assets in the appropriate capital asset class. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	$ 5,000
Buildings	5,000
Land improvements	5,000
Intangibles	100,000
Right-to-use leased assets	5,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	5,000

Land and construction in progress are not depreciated. The other tangible and intangible property, plant, equipment and the right-to-use leased assets are depreciated/amortized using the straight line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Right-to-use leased assets	2-15 years
Machinery and equipment	5 to 12 years

Leases - Burlington Community School District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability and an intangible right-to-use lease equipment (lease asset) in the government-wide financial statements. The District recognized leases with an initial, individual value of $5,000 or more.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how Burlington Community School District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

Burlington Community School District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Leases – Burlington Community School District is a lessor for a noncancellable lease of District buildings. The District recognizes a lease receivable and deferred inflow of resources in the government-wide and governmental fund financial statements.

At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgements include how the Burlington Community School District determines the discount rate it uses to discount the expected lease receipts to present value, lease term and lease receipts.

Burlington Community School District uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension and OPEB expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Advances from Grantors - Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2022. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund while the portion attributable to the business type activities will be paid primarily by the Enterprise, School Nutrition and Child Care Funds.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows or resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) Cash and Pooled Investments

The District's deposits in banks at June 30, 2022 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2022, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of $ 15,137,055, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAm by Standard & Poor's Financial Services.

(3) Due From and Due to Other Funds

The detail of interfund receivables and payables at June 30, 2022 is as follows:

Receivable Fund	Payable Fund	Amount
General Fund	Enterprise Fund: School Nutrition	$ 936
Student Activity Fund	Enterprise Fund: School Nutrition	60
Enterprise Fund: Corse Early Childhood Center	Enterprise Fund: School Nutrition	11,778
Total		$ 12,774

The School Nutrition Fund is repaying the General Fund, Student Activity Fund and Corse Early Childhood Center Fund for revenues not reallocated by year end.

(4) Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2022 is as follows:

Transfer to	Transfer from	Amount
Capital Projects: Statewide Sales, Services and Use Tax	General Fund	$ 570,900
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	7,488,406
General Fund	Enterprise Fund: School Nutrition	120,000
Debt Service	General Fund	81,213
Debt Service	Capital Projects: Physical Plant and Equipment Levy	43,500
Total		$ 8,304,019

The transfer from the General Fund to the Capital Projects: Statewide Sales Services and Use Tax Fund was to reclassify ESSER III funds.

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

The transfer from the School Nutrition Fund to the General Fund is for indirect costs incurred during the year.

The transfer from the General Fund to the Debt Service Fund was for the District's printer and copier lease.

The transfer from the Capital Projects: Physical Plant and Equipment Levy to the Debt Service Fund was for the District's modular building lease.

(5) Construction Commitments

The District has entered into various contracts for a high school air quality project and high school additions and renovations. As of June 30, 2022, costs of $1,802,617 had been incurred against the contracts. The balance will be paid as work on the project progresses.

(6) Capital Assets

Capital assets activity for the year ended June 30, 2022 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business type activities:				
Machinery and equipment	$ 719,194	-	715	718,479
Less accumulated depreciation	624,314	17,652	715	641,251
Business type activities capital assets, net	$ 94,880	(17,652)	-	77,228

	Restated Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated/amortized:				
Land	$ 3,022,794	-	-	3,022,794
Construction in progress	365,699	1,966,958	530,040	1,802,617
Total capital assets not being depreciated/amortized	3,388,493	1,966,958	530,040	4,825,411
Capital assets being depreciated/amortized:				
Buildings	94,706,047	196,884	-	94,902,931
Land improvements	2,269,370	339,266	-	2,608,636
Right to use leased equipment	372,053	-	-	372,053
Machinery and equipment	21,011,906	1,019,432	257,235	21,774,103
Total capital assets being depreciated/amortized	118,359,376	1,555,582	257,235	119,657,723
Less accumulated depreciation/amortized for:				
Buildings	31,051,000	1,870,112	-	32,921,112
Land improvements	1,012,784	104,806	-	1,117,590
Right to use leased equipment	148,821	74,411		223,232
Machinery and equipment	17,831,422	685,867	257,235	18,260,054
Total accumulated depreciation/amortized	50,044,027	2,735,196	257,235	52,521,988
Total capital assets being depreciated/amortized, net	68,315,349	(1,179,614)	-	67,135,735
Governmental activities capital assets, net	$ 71,703,842	787,344	530,040	71,961,146

Depreciation/amortized expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	$ 169,779
Support services:	
Administration	53,501
Operation and maintenance of plant	194,717
Transportation	267,870
	685,867
Unallocated depreciation	2,049,329
Total governmental activities depreciation/amortization expense	$ 2,735,196
Business type activities:	
Food service operations	$ 17,652

(7) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2022 are summarized as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	$18,270,000	10,000,000	20,650,000	7,620,000	330,000
Lease Agreements	317,362	-	116,259	201,103	123,062
Compensated absences	211,600	177,820	211,600	177,820	177,820
Net pension liability	24,063,630	-	23,589,893	473,737	-
Total OPEB liability	2,491,167	154,712	-	2,645,879	-
Total	$45,353,759	10,332,532	44,567,752	11,118,539	630,882
Business type activities:					
Compensated absences	$ 5,174	4,999	5,174	4,999	4,999
Net pension liability	624,613	-	613,956	10,657	-
Total OPEB liability	13,022	4,260	775	16,507	-
Total	$ 642,809	9,259	619,905	32,163	4,999

Revenue Bonds

On July 13, 2021, the District issued $10,000,000 in refunding revenue bonds bearing interest of 2.00% and released Series 2009 A, B, & C and Series 2012 reserve funds totaling $3,433,640 to refund $5,400,000 of principal outstanding from the March 1, 2009 Series A revenue bonds with interest rates ranging from 4.60-5.10%, $4,585,000 of principal outstanding from the March 1, 2009 Series B revenue bonds with interest rates ranging from 4.65-5.00%, $280,000 of principal outstanding from the December 1, 2009 Series C revenue bonds with interest rates of 4.50%, and $6,005,000 of principal outstanding from the December 12, 2012 revenue bonds with interest rates ranging from 2.00-2.50% on July 15, 2021. On January 1, 2022 remaining principal of $2,000,000 with an interest rate of 3.00% Series 2012 bond were also called for a total of $18,270,000 refunded during fiscal year 2022. The new refunding bonds have been added to the appropriate financial statements and schedules. The net present value of savings achieved by the refunding is $1,022,227.

Details of the District's June 30, 2022 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year	Bond issue of July 13, 2021 Series A					
Ending	Interest					
June 30,	Rate			Principal	Interest	Total
2023	2.00	%	$	330,000	150,750	480,750
2024	2.00			340,000	144,100	484,100
2025	2.00			350,000	137,250	487,250
2026	2.00			355,000	130,250	485,250
2027-2031	2.00			1,875,000	541,550	2,416,550
2032-2036	2.00			2,075,000	345,300	2,420,300
2037-2041	2.00			2,295,000	128,050	2,423,050
Total			$	7,620,000	1,577,250	9,197,250

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds issued in July 2021. The bonds were issued for the purpose of refunding outstanding project notes and bonds issued for said purpose. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2041. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 9% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is $9,197,250. For the current year $2,380,000 in principal and $164,817 in interest was paid on the bonds and total statewide sales, services and use tax revenues were $5,394,479.

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds require $738,185 from District SAVE cash to be deposited and maintained in a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient statewide sales, services and use tax revenues are available. In addition, each month the District must set aside a portion of the statewide sales, services and use tax proceeds equal to 1/6 of the upcoming bi-annual interest payments and 1/12 of the upcoming annual principal payments.

Lease Agreements

On July 1, 2020 the District entered into a three-year property lease agreement with JMO Modular, LLC. An initial lease liability was recorded in the amount of $89,174. The agreement requires three annual payments of $43,500 and has an implicit interest rate of 2.16%. Details of the District's June 30, 2022 lease agreement indebtedness are as follows:

Year	Property Lease Agreement July 1, 2020					
Ending	Interest					
June 30,	Rate			Principal	Interest	Total
2023	2.16	%	$	47,186	596	47,782

On July 1, 2019 the District entered into a sixty-month copier lease agreement with Access Systems. An initial lease liability was recorded in the amount of $228,188. The agreement requires sixty monthly payments of $6,535.56 and has an implicit interest rate of 2.16%. Details of the District's June 30, 2022 lease agreement indebtedness are as follows:

Year	Copier Lease Agreement July 1, 2019			
Ending June 30,	Interest Rate	Principal	Interest	Total
2023	2.16 %	$ 75,876	2,551	78,427
2024	2.16	78,041	912	78,953
Total		$ 153,917	3,463	157,380

(8) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2022, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2022 were $2,755,125.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2022, the District reported a liability of $484,394 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2021 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2021, the District's proportion was 0.140312%, which was a decrease of 0.211136% from its proportion measured as of June 30, 2020.

For the year ended June 30, 2022, the District recognized pension expense of $2,260,620. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 368,556	370,052
Changes of assumptions	316,835	-
Net difference between projected and actual earnings on IPERS' investments	-	17,550,392
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	-	1,262,173
District contributions subsequent to the measurement date	2,755,125	-
Total	$ 3,440,516	19,182,617

$2,755,125 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2023	$ (4,748,824)
2024	(4,613,242)
2025	(4,218,618)
2026	(4,909,833)
2027	(6,709)
Total	$ (18,497,226)

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2021 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2019.

Mortality rates used in the 2021 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	4.43%
International equity	17.5	6.01
Global smart beta equity	6.0	5.10
Core plus fixed income	26.0	0.29
Public credit	4.0	2.08
Cash	1.0	(0.25)
Private equity	13.0	9.51
Private real assets	7.5	4.63
Private credit	3.0	2.87
Total	100.0%	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	$17,144,298	484,394	(13,477,664)

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

(9) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability. The District also offers a voluntary early retirement plan that provides District contributions to individual accounts for eligible medical expenses, which results in a direct subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At July 1, 2020, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	42
Active employees	579
Total	621

Total OPEB Liability - The District's total OPEB liability of $2,662,386 was measured as of June 30, 2022, and was determined by an actuarial valuation dated July 1, 2020.

Actuarial Assumptions - The total OPEB liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation	2.60% per annum.
Rates of salary increase	3.25-16.25% variable based upon years of service, including inflation.
Discount rate	3.54% compounded annually, including inflation.
Healthcare cost trend rate	6.75% for FY2021 decreasing to an ultimate rate of 4.00% in 2032.

Discount Rate - The discount rate used to measure the total OPEB liability was 3.54% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Pre-retirement mortality rates are from the RP-2014 Employee Table, projected generationally using MP-2017. Post-retirement mortality rates are from the RP-2014 Healthy Annuitant Table, projected generationally using MP-2017. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

Changes in the Total OPEB Liability

	Total OPEB Liability
Total OPEB liability beginning of year	$ 2,504,189
Changes for the year:	
Service cost	193,867
Interest	56,918
Differences between expected and actual experiences	299,776
Changes in assumptions	(265,799)
Benefit payments	(126,565)
Net changes	158,197
Total OPEB liability end of year	$ 2,662,386

Changes of assumptions reflect a change in the discount rate from 2.16% in fiscal year 2021 to 3.54% in fiscal year 2022.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate 1% lower (2.54%) or 1% higher (4.54%) than the current discount rate.

	1% Decrease (2.54%)	Discount Rate (3.54%)	1% Increase (4.54%)
Total OPEB liability	$ 2,853,524	2,662,386	2,481,548

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District as what the District's total OPEB liability would be it were calculated using healthcare cost trend rates that are 1% lower (5.75%) or 1% higher (7.75%) than the current healthcare cost trend rates.

	1% Decrease (5.75%)	Healthcare Cost Trend Rate (6.75%)	1% Increase (7.75%)
Total OPEB liability	$ 2,440,822	2,662,386	2,923,463

OPEB Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2022, the District recognized OPEB expense of $323,829. At June 30, 2022, the District reported deferred inflows of resources related to OPEB from the following resources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 500,557	111,207
Changes in assumptions	408,994	261,490
Total	$ 909,551	372,697

The amount reported as deferred outflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2023	$ 73,044
2024	73,044
2025	73,044
2026	73,044
2027	73,044
Thereafter	171,634
Total	$ 536,854

(10) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled $1,984,145 for the year ended June 30, 2022 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(11) Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(12) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2022.

Program	Amount
Home School Assistance Program (HSAP)	$ 253,527
Gifted and Talented Programs	69,927
Teacher Leadership State Aid	275,434
Four-Year-Old Preschool State Aid	498,445
FLEXIBILITY Account Excess Professional Development	60,000
Textbook Aid for Nonpublic Students	12,922
Successful Progression for Early Readers	45,283
Professional Development for Model Core Curriculum	33,050
Professional Development	150,044
Total	$ 1,398,632

(13) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Debt Service	Unassigned/ Unrestricted
Fund balance (Exhibit C)	$ -	809,625	13,655,354
Capital assets, net of accumulated depreciation/amortization	71,961,146	-	-
Revenue bond capitalized indebtedness	(7,620,000)	-	-
Lease agreement capitalized indebtedness	(201,103)	-	-
Accrued interest payable	-	(12,700)	-
Internal service fund balance	-	-	1,340,319
Compensated absences	-	-	(177,820)
Pension related deferred outflows	-	-	3,352,978
Pension related deferred inflows	-	-	(18,760,599)
Net pension liability	-	-	(473,737)
Total OPEB liability	-	-	(2,645,879)
OPEB related deferred outflows	-	-	903,912
OPEB related deferred inflows	-	-	(370,386)
Prepaid expenses	-	-	6,750
Assigned fund balance	-	-	230,351
Net position (Exhibit A)	$ 64,140,043	796,925	(2,938,757)

(14) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the City of West Burlington and Des Moines County offered an urban revitalization tax abatement program pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2022 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
Burlington	Urban Renewal and Economic Development Projects	$ 494,929
West Burlington	Urban Renewal and Economic Development Projects	$ 1,891
Des Moines County	Urban Revitalization	$ 124,043

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times $5.40 per $1,000 of taxable valuation. For the year ended June 30, 2022, this reimbursement amounted to $224,787.

(15) Accounting Change/Restatement

Governmental Accounting Standards Board Statement No. 87, Leases, was implemented as of the beginning of the year ended June 30, 2022. The requirements of this statement apply to financial statements of all state and local governments and establishes standards of accounting and financial reporting for leases by lessees and lessors. Beginning net position for the General Fund and governmental activities, was restated to retroactively recognize the beginning lease receivable, lease related deferred inflows, lease liability and the right-to-use lease asset when the District is the lessee.

	General Fund
Balances June 30, 2021, as previously reported	$ 14,133,884
Lease receivable restatement for GASBS No. 87	403,856
Lease related deferred inflows restatement for GASBS No. 87	(365,462)
Balances July 1, 2021, as restated	$ 14,172,278

	Governmental Activities
Balances June 30, 2021, as previously reported	$ 63,532,061
Net capital asset restatement for GASBS No. 87	313,087
Net long-term liabilities restatement for GASBS No. 87	(317,362)
Lease receivable restatement for GASBS No. 87	403,856
Lease related deferred inflows restatement for GASBS No. 87	(365,462)
Balances July 1, 2021, as restated	$ 63,566,180

Details of the restatement for capital assets and long-term liabilities are as follows:

	Capital Assets	Long Term Liabilities
Balances June 30, 2021, as previously reported	$ 71,390,755	45,036,397
Changes to implement GASBS No. 87:		
Lease agreements	-	317,362
Buildings	134,782	-
Accumulated Depreciation, Buildings	(44,927)	-
Right-to-Use Leased Equipment	372,053	-
Accumulated Depreciation, Right-to-Use Leased Equipment	(148,821)	-
Balances July 1, 2021, as restated	$ 71,703,842	45,353,759

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2022

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts Original	Budgeted Amounts Final	Final to Actual Variance
Revenues:						
Local sources	$ 16,948,284	274,309	17,222,593	18,391,630	18,391,630	(1,169,037)
State sources	37,765,899	123,383	37,889,282	37,524,695	37,524,695	364,587
Federal sources	8,607,930	1,916,309	10,524,239	8,000,000	8,000,000	2,524,239
Total revenues	63,322,113	2,314,001	65,636,114	63,916,325	63,916,325	1,719,789
Expenditures/Expenses:						
Instruction	36,265,028	332,137	36,597,165	37,220,000	37,500,000	902,835
Support services	16,798,695	90,019	16,888,714	19,490,000	19,600,000	2,711,286
Non-instructional programs	60,783	1,428,009	1,488,792	2,805,000	2,805,000	1,316,208
Other expenditures	25,531,271	-	25,531,271	13,240,232	28,100,000	2,568,729
Total expenditures/expenses	78,655,777	1,850,165	80,505,942	72,755,232	88,005,000	7,499,058
Excess (Deficiency) of revenues over (under) expenditures/expenses	(15,333,664)	463,836	(14,869,828)	(8,838,907)	(24,088,675)	9,218,847
Other financing sources, net	10,408,262	(120,000)	10,288,262	150,000	150,000	10,138,262
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	(4,925,402)	343,836	(4,581,566)	(8,688,907)	(23,938,675)	19,357,109
Balances beginning of year, as restated	32,071,166	280,604	32,351,770	27,509,675	27,509,675	4,842,095
Balances end of year	$ 27,145,764	624,440	27,770,204	18,820,768	3,571,000	24,199,204

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2022

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District’s budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment, increasing budgeted expenditures by $15,249,768.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF
THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST EIGHT YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

		2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability		0.140312%	0.351447%	0.366880%	0.337102%	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	$	484,394	24,688	21,245	23,479	25,490	25,057	19,713	16,120
District's covered payroll	$	28,104	27,934	27,924	27,912	28,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll		1723.59%	88.38%	76.08%	84.12%	89.17%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability		100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Statutorily required contribution	$ 2,755	2,653	2,637	2,636	2,493	2,553	2,554	2,445	2,376	2,207
Contributions in relation to the statutorily required contribution	(2,755)	(2,653)	(2,637)	(2,636)	(2,493)	(2,553)	(2,554)	(2,445)	(2,376)	(2,207)
Contribution deficiency (excess)	$ -	-	-	-	-	-	-	-	-	-
District's covered payroll	$ 29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385	26,607	25,456
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	9.44%	8.93%	8.93%	8.93%	8.93%	8.93%	8.67%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S
TOTAL OPEB LIABILITY, RELATED RATIOS AND NOTES
FOR THE LAST FOUR YEARS
REQUIRED SUPPLEMENTARY INFORMATION

		2022	2021	2020	2019	2018
Service cost	$	193,867	202,917	138,145	146,369	122,623
Interest cost		56,918	58,669	83,124	89,959	64,098
Differences between expected and actual experiences		299,776	(136,321)	-	364,009	-
Changes in assumptions		(265,799)	158,706	191,623	221,278	(38,306)
Benefit payments		(126,565)	(274,077)	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability		158,197	9,894	104,675	670,572	(44,256)
Total OPEB liability beginning of year		2,504,189	2,494,295	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	$	2,662,386	2,504,189	2,494,295	2,389,620	1,719,048
Covered-employee payroll	$	25,311,685	26,193,199	24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll		10.52%	9.56%	10.00%	9.66%	6.85%

<u>Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios</u>

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Reporting period ended June 30, 2022	3.54%
Reporting period ended June 30, 2021	2.16%
Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

Burlington Community School District

Supplementary Information

SCHEDULE 1

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2022

		Special Revenue		
		Student Activity	Support Trust	Total Nonmajor
Assets				
Cash and pooled investments	$	335,721	701,302	1,037,023
Receivables:				
Due from other funds		60	-	60
Total assets	$	335,781	701,302	1,037,083
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	$	7,952	-	7,952
Salaries and benefits payable		996	-	996
Total liabilities		8,948	-	8,948
Fund balances:				
Restricted for:				
Student activities		326,833	-	326,833
Support trust purposes		-	701,302	701,302
Total fund balances		326,833	701,302	1,028,135
Total liabilities, deferred inflows of resources and fund balances	$	335,781	701,302	1,037,083

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 2

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2022

	Special Revenue		
	Student Activity	Support Trust	Total Nonmajor
Revenues:			
Local sources:			
Other	$ 323,863	17,143	341,006
Expenditures:			
Current:			
Instruction:			
Regular	-	50,246	50,246
Other	309,911	-	309,911
Total expenditures	309,911	50,246	360,157
Excess (Deficiency) of revenues over (under) expenditures	13,952	(33,103)	(19,151)
Fund balances beginning of year	312,881	734,405	1,047,286
Fund balances end of year	$ 326,833	701,302	1,028,135

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
CAPITAL PROJECTS FUND ACCOUNTS
JUNE 30, 2022

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	$ 3,399,433	1,538,120	4,937,553
Receivables:			
Property tax:			
Delinquent	-	10,685	10,685
Succeeding year	-	1,136,666	1,136,666
Due from other governments	988,570	-	988,570
Total assets	$ 4,388,003	2,685,471	7,073,474
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	$ 2,500	55,830	58,330
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,136,666	1,136,666
Fund balances:			
Restricted for:			
School infrastructure	4,385,503	-	4,385,503
Physical plant and equipment	-	1,492,975	1,492,975
Total fund balances	4,385,503	1,492,975	5,878,478
Total liabilities, deferred inflows of resources and fund balances	$ 4,388,003	2,685,471	7,073,474

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 4

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
CAPITAL PROJECTS FUND ACCOUNTS
YEAR ENDED JUNE 30, 2022

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	$	1,146,003	1,146,003
Other	5,411	827	6,238
State sources	5,394,479	46,557	5,441,036
Total revenues	5,399,890	1,193,387	6,593,277
Expenditures:			
Current:			
Instruction:			
Regular	347,059	-	347,059
Support services:			
Instructional staff	-	1,000	1,000
Administration	2,500	32,794	35,294
Operation and maintenance of plant	-	236,361	236,361
Transportation	-	9,550	9,550
Capital outlay	1,602,717	886,389	2,489,106
Total expenditures	1,952,276	1,166,094	3,118,370
Excess of revenues over expenditures	3,447,614	27,293	3,474,907
Other financing sources (uses):			
Proceeds from the sale of equipment	-	12,003	12,003
Transfer in	570,900	-	570,900
Transfer out	(7,488,406)	(43,500)	(7,531,906)
Total other financing sources (uses)	(6,917,506)	(31,497)	(6,949,003)
Change in fund balances	(3,469,892)	(4,204)	(3,474,096)
Fund balances beginning of year	7,855,395	1,497,179	9,352,574
Fund balances end of year	$ 4,385,503	1,492,975	5,878,478

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2022

Account		Balance Beginning of Year	Revenues	Expenditures	Interfund/ Intrafund Transfer	Balance End of Year
Activity Fund	$	9,003	500	7,507	-	1,996
BHS Drama		-	4,636	4,646	10	-
BHS Vocal		3,240	980	660	-	3,560
BHS Purple Aires		-	180	180	-	-
BHS Orchestra		141	140	96	-	185
BHS Band		1,670	2,832	2,553	-	1,949
BHS Jazz Band		78	793	871	-	-
BHS Music/Drama		5,675	5,416	2,570	(10)	8,511
BHS Middle School Ath		12,470	15,051	9,776	-	17,745
BHS Future Grayhound B-Ball		4,952	-	25	-	4,927
BHS Gen Athletics		71,011	14,507	19,042	-	66,476
BHS Cross Country		-	2,083	2,083	-	-
BHS Future Grayhound Swimming		200	-	-	-	200
BHS Bowling		270	110	380	-	-
BHS Cheerleading		11,705	9,627	7,340	-	13,992
BHS Boys Basketball		14,693	17,884	19,846	-	12,731
BHS Football		17,545	43,839	45,230	-	16,154
BHS Boys Soccer		8,676	6,622	6,544	-	8,754
BHS Baseball		14,278	27,289	30,518	-	11,049
BHS Boys Track		-	10,388	10,388	-	-
BHS Boys Tennis		98	132	-	-	230
BHS Boys Golf		-	3,220	3,220	-	-
BHS Boys Swim		20,245	3,226	4,632	-	18,839
BHS Wrestling		-	8,119	8,119	-	-
BHS Girls Basketball		775	5,608	6,383	-	-
BHS Volleyball		4,416	18,745	15,235	-	7,926
BHS Girls Soccer		6,419	6,877	9,693	-	3,603
BHS Softball		-	13,456	9,174	-	4,282
BHS Girls Track		1,940	4,779	6,575	-	144
BHS Girls Tennis		825	358	765	-	418
BHS Girls Golf		-	2,915	2,915	-	-
BHS Girls Swim		3,363	8,095	2,668	-	8,790
BHS Art Club		1,737	15	62	-	1,690
BHS Kiwanis Key Club		316	-	-	-	316
BHS Purple & Gray		50	-	-	-	50
BHS International Club		258	-	-	-	258
BHS Pathfinder		4,847	7,573	8,276	-	4,144
BHS Ecology Club		2,102	-	-	-	2,102
BHS Varsity Club		18,342	25,620	20,248	-	23,714
BHS Renaissance Store		-	1,135	1,135	-	-
BHS Coffee Shop		1,921	50	-	-	1,971
BHS Grayhound Graphics		856	547	219	-	1,184
BHS Junior Class		11,224	7,275	6,613	-	11,886
BHS Sophmore Class		247	-	-	-	247
BHS Senior Class		7,593	-	282	-	7,311
BHS St Council		5,027	22,703	18,937	-	8,793
BHS Dream Catchers		2,017	-	-	-	2,017
BHS FCCLA		3,983	1,206	-	-	5,189
BHS IA Club		1,374	-	-	-	1,374
BHS Math Club		26	-	-	-	26
BHS Tech Student Assoc		2,507	2,127	650	-	3,984
BHS Manufacturing Club		501	539	183	-	857
BHS Deca		-	2,952	573	-	2,379
BHS BPA Club		300	3,611	3,123	-	788
BHS Dance Team		-	89	-	-	89
BHS Color Guard		18	-	-	-	18
BHS Hounds For Help		1,375	200	399	-	1,176
BHS Swing Dance		427	-	-	-	427
BHS Health Occupations (HOSA)		-	6,436	1,951	-	4,485
BHS GLSA Club		97	-	-	-	97
Other Buildings:						
Black Hawk		3,128	1,131	1,214		3,045
Corse		246	-	-	-	246
Grimes		731	72	-	-	803
James Madison		11,907	1,869	2,045	-	11,731
North Hill		1,315	-	-	-	1,315
Oak Street		14,721	306	4,367	-	10,660
Total	$	312,881	323,863	309,911	-	326,833

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
YEAR ENDED JUNE 30, 2022

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Gueglar Trust	$ 14,410	-	-	14,410
John H Witte Foundation	1	-	-	1
Dorothy Lind Music	301,103	31	26,567	274,567
Burlington Education Foundation	11,551	16,652	23,599	4,604
Wedertz Music	55	-	-	55
Wagner Softball Field	3,262	13	-	3,275
Wayne Duke Baseball	2,244	-	-	2,244
James Anders	138,027	438	80	138,385
Stiefel Athletic Track	11,432	9	-	11,441
Bell Trust	252,320	-	-	252,320
Total	$ 734,405	17,143	50,246	701,302

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 7

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
YEAR ENDED JUNE 30, 2022

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Miscellaneous Scholarship	$ 1,681	-	-	1,681
Adams Scholarship	34,644	120	-	34,764
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,140	1	-	1,141
Haberichter Scholarship	675	3	-	678
Minority Scholarship	200	150	350	-
Johannsen Scholarship	13,286	7	400	12,893
Perrine Scholarship	1,850	-	-	1,850
Wehman Scholarship	4,849	10	-	4,859
Student Council Scholarship	128	-	-	128
Ecology Scholarship	508	-	-	508
Huppenbauer Science Scholarship	5,219	-	500	4,719
Berquist Music Scholarship	17,817	-	-	17,817
Jefferson Nurse Scholarship	450	-	-	450
FCCLA Scholarship	3,000	-	-	3,000
Bila Scholarship	277	-	-	277
Total	$ 85,794	291	1,250	84,835

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenues:										
Local sources:										
Local tax	$ 15,136,990	15,420,953	14,669,263	15,281,832	15,109,698	14,414,004	14,352,078	13,728,463	13,247,611	17,829,755
Tuition	1,051,530	632,202	766,192	908,880	798,301	734,594	666,068	773,989	747,319	842,761
Other	759,764	614,981	1,027,797	1,170,962	1,241,246	860,478	1,270,050	2,136,096	919,649	1,168,439
State sources	37,765,899	36,624,631	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654	38,633,289	35,713,620	28,951,262
Federal sources	8,607,930	6,283,197	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529	3,523,851	3,667,089	3,457,367
Total	$ 63,322,113	59,575,964	56,991,809	57,682,677	58,132,205	57,552,687	57,913,379	58,795,688	54,295,288	52,249,584
Expenditures:										
Instruction:										
Regular	$ 22,301,814	21,774,302	20,908,020	21,837,640	21,803,196	21,932,930	22,030,385	21,265,845	21,038,676	19,880,112
Special	8,256,405	8,508,522	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365	8,374,707	9,004,603	8,563,453
Other	5,706,809	5,338,018	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462	4,073,374	4,407,776	4,167,126
Support services:										
Student	2,382,173	2,107,592	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041	2,036,219	1,942,209	1,879,602
Instructional staff	2,136,146	2,087,069	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018	2,283,938	1,065,944	1,028,208
Administration	5,627,195	5,349,151	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751	5,012,281	4,982,721	4,888,832
Operation and maintenance of plant	4,976,077	4,685,993	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216	3,884,968	3,845,625	3,746,172
Transportation	1,677,104	1,286,861	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144	1,451,216	1,482,560	1,410,024
Non-instructional programs	60,783	28,397	23,010	21,620	41,799	32,122	40,610	56,062	39,651	18,266
Capital outlay	2,489,106	714,240	835,568	1,030,789	1,109,633	1,120,453	1,055,201	1,814,612	2,368,609	2,111,402
Long-term debt:										
Principal	20,766,259	1,970,000	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000	1,695,000	1,655,000	1,695,000
Interest	291,761	774,869	847,829	917,621	985,677	1,052,328	1,112,015	1,166,453	1,221,302	1,145,587
Other expenditures:										
AEA flowthrough	1,984,145	1,993,363	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978	2,009,543	1,909,154	1,752,703
Total	$ 78,655,777	56,618,377	54,850,908	55,894,787	55,860,257	56,441,075	55,877,186	55,124,218	54,963,830	52,286,487

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 9

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2022

Grantor/Program	Assistance Listing Number	Pass-Through Entity Identifying Number	Expenditures
U.S. Department of Agriculture:			
Passed through Iowa Department of Education:			
Child Nutrition Cluster:			
School Breakfast Program	10.553	FY 22	$ 264,639
National School Lunch Program	10.555	FY 22	1,344,135
Summer Food Service Program for Children	10.559	FY 22	128,998
Total - Child Nutrition Cluster			1,737,772
Child & Adult Care Food Program	10.558	FY 22	18,213
P-EBT Administrative Cost	10.649	FY 22	77,909
Total U.S. Department of Agriculture			1,833,894
U.S. Department of Education:			
Passed Through Iowa Department of Education:			
Title I Grants to Local Educational Agencies	84.010	FY 22	1,850,519
Career and Technical Education - Basic Grants to States	84.048	FY 22	84,000
Twenty-First Century Community Learning Centers	84.287	FY 22	367,087
REAP (Rural Education)	84.358	FY 22	130,654
Supporting Effective Instruction State Grants	84.367	FY 22	216,119
Student Support and Academic Enrichment Program	84.424	FY 22	100,740
Education Stabilization Fund:			
COVID-19 Governor's Emergency Education Relief (GEER) Fund	84.425C	FY 22	4,450
COVID-19 Elementary and Secondary School Relief Fund	84.425D	FY 22	2,149,370
American Rescue Plan - Elementary and Secondary School Emergency Relief	84.425U	FY 22	1,751,944
American Rescue Plan - Homeless	84.425W	FY 22	56,493
Total - Education Stabilization Fund			3,962,257
Passed Through Great Prairie Area Education Agency:			
Special Education Grants to States	84.027	FY 22	211,654
COVID-19, American Rescue Plan - Special Education - Grants to States	84.027X	FY 22	32,653
			244,307
English Language Acquisition State Grants	84.365	FY 22	3,154
Passed Through Department of Homeland Security:			
FEMA Disaster Assistance	97.036	FY 22	22,822
Passed Through Department of Justice:			
Juvenile Mentoring Program	16.726	FY 22	43,196
Passed Through Iowa Vocational Rehabilitation Services:			
Rehabilitation Services - Vocational Rehabilitation Grants to States	84.126	FY 22	54,154
Total U.S. Department of Education			7,046,356
U.S. Department of Health and Human Services:			
Passed Through Iowa Department of Human Services:			
Iowa Child Abuse Prevention Resilient Co.	93.556	FY 22	114,000
Child Care and Development Block Grant	93.575	FY 22	82,415
Total U.S. Department of Health and Human Services			196,415
Total			$ 9,076,665

* - Includes $11,877 of non-cash awards.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2022. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District does not use a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2022, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated April 3, 2023.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that are not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters which are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2022 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Government Auditing Standards requires the auditor to perform limited procedure on Burlington Community School District's responses to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the responses.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.

Nolte, Cornman & Johnson PC

NOLTE, CORNMAN & JOHNSON, P.C.

April 3, 2023
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of Burlington Community School District's major federal programs for the year ended June 30, 2022. Burlington Community School District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Burlington Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Burlington Community School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Burlington Community School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Burlington Community School District's federal programs.

Members American Institute & Iowa Society of Certified Public Accountants

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Burlington Community School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence judgement made by a reasonable user of the report on compliance about Burlington Community School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Burlington Community School District's compliance with the compliance requirements referred to above and performing other such procedures as we considered necessary in the circumstances.

- Obtain an understanding of Burlington Community School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weakness as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Nolte, Cornman & Johnson, PC

NOLTE, CORNMAN & JOHNSON, P.C.

April 3, 2023
Newton, Iowa

Part I: Summary of the Independent Auditor's Results:

(a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.

(b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.

(c) The audit did not disclose any noncompliance which is material to the financial statements.

(d) No material weaknesses in internal control over major programs were noted.

(e) An unmodified opinion was issued on compliance with requirements applicable to each major program.

(f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.

(g) Major programs were as follows:

- CFDA Number 84.010 - Title I Grants to Local Educational Agencies
- CFDA Number 84.425 - Education Stabilization Fund
- CFDA Number 84.287 - 21st Century

(h) The dollar threshold used to distinguish between Type A and Type B programs was $750,000.

(i) Burlington Community School District qualified as a low-risk auditee.

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

Part IV: Other Findings Related to Required Statutory Reporting:

2022-A Certified Budget - District disbursements for the year ended June 30, 2022 did not exceed the certified budgeted amounts.

2022-B Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

2022-C Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

2022-D Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owns Grayhound Painting	Services - Painting	$ 93,750

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with the District employee do not appear to represent a conflict of interest.

2022-E Restricted Donor Activity – No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

2022-F Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

2022-G Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

2022-H Certified Enrollment - No variances in the basic enrollment data certified to the Iowa Department of Education were noted.

2022-I Supplementary Weighting - We noted the supplementary weighting data certified to the Iowa Department of Education was overstated by 0.105 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2022-J Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

2022-K Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

2022-L Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.

2022-M Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2022, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		$ 7,855,395
Revenues:		
Sales tax revenues	$5,394,479	
Transfer from other funds	570,900	
Other local revenues	5,411	5,970,790
Expenditures/transfers out:		
School infrastructure construction	1,602,717	
Equipment	347,059	
Other	2,500	
Transfers to other funds:		
Debt service fund	7,488,406	9,440,682
Ending balance		$ 4,385,503

For the year ended June 30, 2022, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.